

complaint

Ms S complains that Royal & Sun Alliance Insurance Plc (RSA) has refused to deal with a damp problem as part of her flood claim.

background

Ms S had home insurance with RSA and claimed for substantial damage to her home following a flood. RSA accepted the claim and Ms S moved into alternative accommodation while the property was dried. Unfortunately, two days after the drying was complete, the property was flooded again and had to undergo a further period of drying.

Ms S moved back into her house once the repairs were finished. A few weeks later she contacted RSA because the laminate floors were swelling and the doors were too tight for closing. There was also a white residue on the floors and mould on some of the furniture.

RSA investigated and concluded that there was a damp problem and that this was not related to the flood. It agreed to repair some of the damage (which was caused by leaking radiators) but declined to deal with the damp.

Ms S has complained to this service. She thinks that RSA should deal with the damp as part of the flood claim. Our adjudicator has recommended that the complaint should be upheld, basing her view on an independent report, which confirms that the damp is a consequence of the flooding. She has also recommended that RSA should pay Ms S £200 for the distress and inconvenience caused by its refusal to deal with the damp.

RSA has asked for this complaint to be reviewed by an ombudsman. It maintains that the damp is not covered under the policy. It says that the floor was defective and points out that the property had been certified dry before the works had started.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

RSA argues that the damp is not covered under the policy because the floor was defective. A drying certificate was issued and the moisture readings were tested before the flooring was laid (three to four months after the floors were certified dry). RSA's contractors said that this meant that the damp was not due to water that had entered the house during the flood. They said that it was unlikely that the flood water would have caused the damage but conceded that they had been unable to determine the cause of the damage.

It is right that if the damp was not a result of the flood (or any other insured peril), it would not be covered under the policy. However, the fact that the floor was defective does not automatically mean that the damp is not covered.

RSA obtained an independent report which explained that the moisture content of the floor was higher than it should have been following drying. It confirmed that there was a defect where the new floor adjoined the original floor (there had been an extension) and went on to say that *"the original DPM does not appear to be in good condition and could have allowed flood water to penetrate the sub floor below"*.

RSA argues that this report shows that the cause of the damp is the defective floor and therefore it is not covered by the policy. I accept that the report suggests that the floor was defective but I note that the report also states that water from the flood penetrated the floor below. If this is right, the damage would be covered under the policy.

There is conflicting evidence concerning the cause of the damp therefore I must decide what was the most likely cause. I accept that the floor was defective but the critical issue in my view is the source of the moisture. Having considered the drying certificate, I find that, when the certificate was issued, the property was most likely dry. However the floor became damp again very shortly afterwards and RSA has not produced any evidence to show that the moisture which caused the damp did not come from the flood. Other than a suggestion that there was some established mould shortly after the original flood, I haven't seen any evidence of pre-existing damp and Ms S says that her house had not experienced damp before the flood.

In the absence of another explanation for the cause of the damp, in my view, it is most likely that the flood raised the water table and re-entered the floor after the property was certified dry. The water table was probably high as a result of the flood (because otherwise there would have been damp before the flood occurred). If it wasn't for the flood, the damage wouldn't have occurred and therefore I find that the damage is covered under the policy.

I expect RSA to deal with the damp. If it can carry out a lasting and effective repair to the damage caused by the damp it will not be obliged to repair the defect.

Finally, I agree with our adjudicator that Ms S should be compensated for the trouble and upset that she has been caused by RSA's handling of this claim. I find that £200 is fair and reasonable.

my final decision

I uphold this complaint and I require Royal & Sun Alliance Insurance Plc to:

- deal with the damp problem as part of the flood claim.
- pay £200 to Ms S for the trouble and upset she has suffered as a result of RSA's refusal to deal with this element of the claim.

Carolyn Bonnell
ombudsman